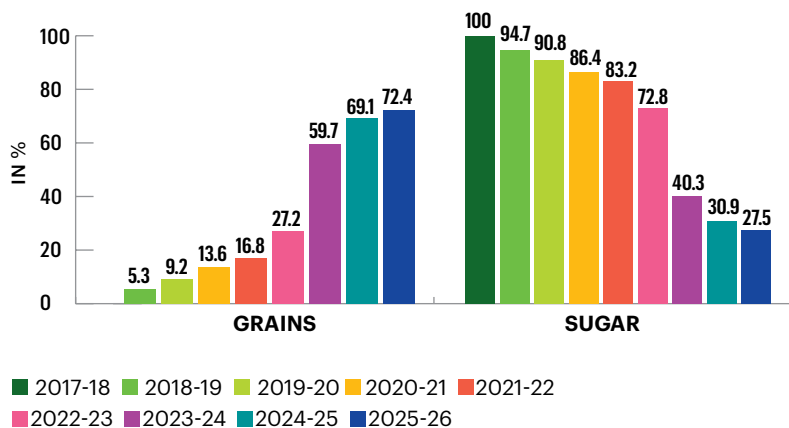


FEEDSTOCK CHANGE

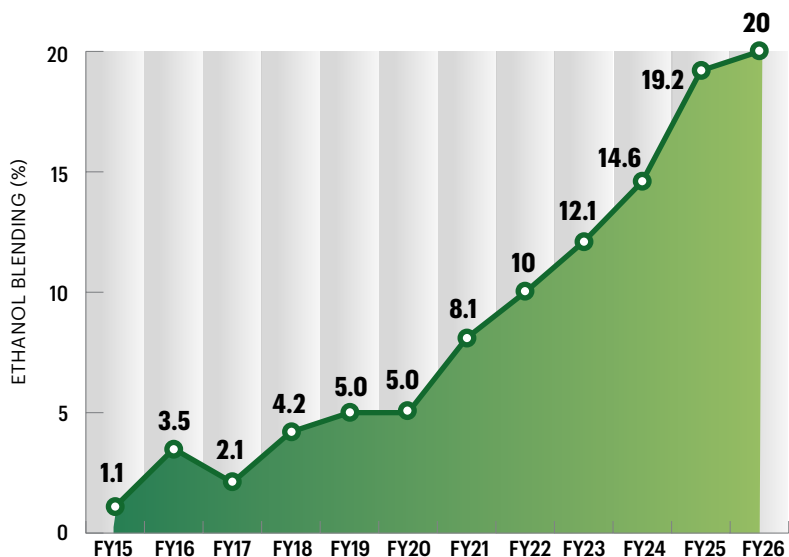
• The use of grains as ethanol feedstock has increased; sugarcane has seen a big dip



SOURCE GRAIN ETHANOL MANUFACTURERS ASSOCIATION, ETHANOL SUPPLY YEAR

INCREASED BLENDING

• Ethanol blending in petrol has increased steadily over the years. The Centre now plans to ramp that up



NOTE TILL JAN 31, 2026

SOURCE RAJYA SABHA REPLY, MAR 9, 2026

patterns and food price dynamics” and calling for “a holistic view of energy security and food security.”

The incentive it refers to is the administered price for ethanol, which is the highest, and rising faster for maize-based ethanol, it added. Farmers in Maharashtra’s water-starved regions continue to grow sugarcane for this reason.

The Survey suggested avoiding market distortions, focus on yield improvements in pulses and oilseeds to make those relatively profitable, and targeted and planned growth in ethanol feedstocks keeping local resources in mind.

Of course, both energy and food security are critical to India.

The country’s import dependence in energy is very high at 90.5% for crude oil, 50% for LNG and 66% for LPG in FY25. Those vulnerabilities have come into sharp focus after Iran virtually closed the Strait of Hormuz amidst its war with the US and Israel. Before the war, a significant amount of India’s energy imports transited through the Strait.

No less is India’s vulnerability in food, with import dependency of 68.6% for fertilisers (FY25), which again transited overwhelmingly through the Strait. Besides, 57% of the population has relied on “free” grains distributed by the central government since 2020.

And yet, as mentioned earlier, there is no denying the fact that current ethanol feedstocks in India are water guzzlers. In 2024, Sanjeev Chopra, Secretary of the Food and Public Distribution Department, caused a flutter when, referring to a government study, he said that one litre of ethanol produced from sugarcane used 3,630 litres of water while that from maize used 4,670 litres and rice 10,790 litres.

For its part, the government has highlighted forex savings from